

BEFORE THE HON'BLE APPELLATE TRIBUNAL FOR ELECTRICITY

NEW DELHI

APPEAL NO. 163 OF 2018

IN THE MATTER OF:

GMR Warora Energy Limited

.....Appellant

Versus

Central Electricity Regulatory Commission & Ors.

...Respondent

Index

ND04-25/8/26

S. NO.	Particulars	Pages
1	BRIEF NOTE OF SUBMISSIONS ON BEHALF OF RESPONDENT NO. 2, MAHARASHTRA STATE ELECTRICITY DISTRIBUTION CO. LTD.	1-3

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**BRIEF NOTE OF SUBMISSIONS ON BEHALF OF RESPONDENT NO. 2, MAHARASHTRA
STATE ELECTRICITY DISTRIBUTION CO. LTD.**

A. BACKGROUND

1. The present Appeal has been filed by GMR Warora Energy Limited ("**GWEL**"), challenging Order dated 16.03.2018 passed by Central Electricity Regulatory Commission in Petition No. 1/MP/2017 ("**CERC Order**") to the extent it disallowed certain claims of GWEL for compensation on account of "Change in Law" ("**CIL**") under the PPAs executed with Maharashtra State Electricity Distribution Company Limited ("**MSEDCL**") and Electricity Department, DNH and Tamil Nadu Generation and Distribution Corporation Limited ("**TANGEDCO**").

B. SUBMISSIONS

2. It is submitted at the outset that various CIL claims raised by GWEL in the present Appeal have already been the subject matter of adjudication in the first round of litigation between GWEL and MSEDCL, which culminated in the Judgment dated 20.04.2023 of the Hon'ble Supreme Court passed in Civil Appeal No. 11095 of 2018 titled *GMR Warora Energy Limited v. Central Electricity Regulatory Commission and Others* and batch ("**GMR Warora SC Judgment**").
3. In particular, the claims of GWEL for compensation on account of Surface Transportation Charges and Sizing/Crushing Charges, Increase in MAT, and Increase in Working Capital were specifically rejected by the Hon'ble Supreme Court in the GMR Warora SC Judgment.
4. It is therefore submitted that the aforesaid CIL events raised by GWEL in the present Appeal stand concluded in favour of MSEDCL by binding decisions of the Hon'ble Supreme Court. In any event, GWEL's grievance in respect of the aforesaid CIL claims, as raised in

the present Appeal, is admittedly restricted qua TANGEDCO alone. Accordingly, even assuming without admitting that GWEL were entitled to any relief in respect of the aforesaid claims, no such relief ought to be granted against MSEDCL, the same being confined, if at all, to TANGEDCO alone.

Submissions in respect of GWEL's CIL claim for increase in Service Tax on O&M expenses

5. In support of its claim for compensation on account of increase in Service Tax/GST on Operation and Maintenance("O&M") contracts, GWEL has sought to place reliance on the judgment of this Hon'ble Tribunal dated 30.05.2025 in Appeal No. 184 of 2023 (***Renew Clean Energy Private Limited v. Madhya Pradesh Electricity Regulatory Commission and Anr***). and the Judgment dated 27.05.2025 in Appeal No. 394 of 2018 and batch (***Azure Power Jupiter Private Limited v. CERC and Ors.***).
6. At the outset, reliance on the aforesaid judgments is misconceived, as both were rendered in the context of solar/renewable power projects governed by materially distinct Change in Law provisions, and the principles laid down therein are not applicable to a thermal generating station such as GWEL's, given that the operation and maintenance of a solar power project is fundamentally different from a thermal power project. Notably, the Change in law clause under the PPA in Appeal No. 184 of 2023 contemplates approval of Change in law and its "consequent impact on tariff". This Hon'ble Tribunal in Appeal No. 184 of 2023 itself drew this distinction, noting that the words "***provide relief***"/"***consequent impact on Tariff***" used in the PPAs are of "widest amplitude". However, Article 10 of the MSEDCL PPA, however, contains no corresponding expression such as "provide relief" or "consequent impact on tariff". Rather, Article 10 has a restitution clause stating the affected party is to be restored "***through monthly tariff payments, to the extent contemplated in this Article 10***", to the same economic position as if the Change in law had not occurred. Hence, the restitution under the MSEDCL PPA is contractual restitution and not restitution at large. Accordingly, relief available under materially different contractual provisions cannot be imported into the present PPA merely by invoking the principle of restitution.
7. Hence, the reasoning extending relief for O&M-related tax increases in the solar cases cannot, therefore, be mechanically transposed to GWEL's claim.
8. As aforesaid, the factual and regulatory context of O&M outsourcing differs materially between solar and thermal generation. The judgments relied upon proceed on the footing

that solar/renewable O&M contracts are typically and necessarily outsourced as a matter of industry practice, such outsourcing being treated as bona fide and not a matter of choice going to the core of the generator's obligations under the PPA. Thermal generating stations, by contrast, involve significant core generation activities; fuel handling, boiler operation, and ash management, among others, that are ordinarily retained in-house. Any outsourcing of O&M functions by a thermal generator cannot be said to be consistent with prudent utility practice, and hence, any commercial implication arising therefrom should be to the account of the generator alone.

9. Without prejudice to the aforesaid, both judgments relied upon by GWEL are not unconditionally operative. In both Appeal No. 184 of 2023 and Appeal No. 394 of 2018, this Hon'ble Tribunal expressly recorded that any payment / compensation awarded shall not be enforceable and shall be subject to the passing of judgement by the Hon'ble Supreme Court in Civil Appeal No. 8880 of 2022 ("**Parampujya Batch**"). The same caveat that both these judgments carry; namely, that their operation and enforcement is subject to the outcome of the Parampujya batch before the Hon'ble Supreme Court, applies equally to GWEL's claim. Accordingly, GWEL's claim for Service Tax on O&M Contracts cannot be countenanced and ought to be rejected.
10. In view of the foregoing submissions, it is respectfully submitted that the present Appeal, to the extent it seeks CIL relief in favour of GWEL and against MSEDCL on the claims set out above, is liable to be dismissed.



Cyril Amarchand Mangaldas

Counsel for Respondent No. 2/

Maharashtra State Electricity Distribution Co. Ltd.

Place: New Delhi

Date: 25.08.2026